Northbridge Bank plc — SME Credit Policy

FICTIONAL DOCUMENT. *Northbridge Bank plc does not exist. This policy, and every threshold, limit, scorecard weight, PD, LGD, authority level and worked example in it, is invented for educational and portfolio-project purposes. It is not, and must not be presented as, the policy of any real institution.*

6. Eligibility

An application that fails a mandatory eligibility criterion must be declined or approved as a Policy Exception; it may not proceed to credit assessment as if eligible. Eligibility is tested by the decision engine for engine-routed applications and by the RM (checked by Credit) for all others.

6.1 Mandatory eligibility criteria

Criterion	Requirement	Exception route
Registration	UK-registered company, LLP or partnership, or UK-resident sole trader, trading principally in the UK	None for non-UK obligors (Corporate & International)
Trading history	≥ 24 months for standard policy; < 24 months → Start-up policy (Section 31)	Start-up policy
Filing status	Companies House filings up to date (no overdue accounts or confirmation statement > 30 days late)	Credit Manager if late filing explained and cured by CP
Minimum turnover	≥ £50k for term lending; none for card/overdraft ≤ £10k	Credit Manager
Ownership transparency	All persons with ≥ 25% ownership or significant control identified and verified; ultimate beneficial owners (UBOs) verified to 10% where higher-risk indicators exist	None
Management	At least one director/partner with ≥ 2 years' relevant sector experience	Credit Manager
Sector	Not Prohibited; Restricted sectors meet sector conditions (6.3)	Restricted: per 6.3. Prohibited: none
Credit history	No unsatisfied CCJs > £5k in last 24 months (business or principals); no insolvency of principals in last 6 years; no IVA in last 3 years	Senior Credit Manager if explained and satisfied
Account conduct	Where banked with Northbridge ≥ 6 months: no returned items in last 3 months; no unarranged excess > 30 days in last 6 months	Credit Manager
Tax	No known HMRC arrears outside an agreed Time to Pay arrangement; Time to Pay arrangements disclosed and being met	Credit Manager if TTP being met

Criterion	Requirement	Exception route
Financial information	Information required by Section 8 provided	None (incomplete applications are not assessed)
Purpose	Legal, clearly identified, consistent with the business model and not to repay HMRC arrears, other lenders' arrears or fund distributions to shareholders	Refinancing of arrears only under Section 26
Source of funds	Equity contributions and deposits supporting the application are from an evidenced, legitimate source	None
Existing relationship	Not required. Non-customers must open a Northbridge operating account before drawdown for any facility > £250k	Credit Manager

6.2 Sector appetite classification

Northbridge classifies sectors by SIC 2007 code into four appetite categories, refreshed semi-annually by Portfolio Credit Risk based on default rates, forward-looking economic indicators and concentration.

Category	Meaning	Approval impact
Acceptable — Growth	Sectors where Northbridge seeks to grow share	Standard policy
Acceptable — Neutral	Standard appetite	Standard policy
Restricted	Elevated credit, legal, regulatory, reputational or financial-crime risk; lending only on enhanced conditions	Sector conditions + one authority level higher (Section 19)
Prohibited	Outside appetite	Decline; no exception route

6.3 Sector classification *(illustrative)*

Sector	Category	Rationale and conditions
Healthcare (GP, dental, care with CQC rating Good/Outstanding)	Acceptable — Growth	Contracted public income; regulated quality. Care homes rated Requires Improvement → Restricted
Professional services	Acceptable — Growth	Stable fee income; low capital intensity
Manufacturing (excl. defence-adjacent)	Acceptable — Growth	Tangible security; strong UK supply-chain policy support
Technology (revenue-generating, positive EBITDA)	Acceptable — Neutral	Cash-flow lending only; pre-revenue → Restricted (venture debt team)
Wholesale and distribution	Acceptable — Neutral	Thin margins; working-capital intensive
Agriculture	Acceptable — Neutral	Land security; subsidy-transition and weather risk
Transport and logistics	Acceptable — Neutral	Fuel and labour sensitivity; asset-backed
Retail (non-food)	Acceptable — Neutral	Structural shift online; lease liabilities included in leverage

Sector	Category	Rationale and conditions
Hospitality (pubs, restaurants, hotels)	Restricted	High default rates; energy, labour and consumer-demand sensitivity. Max senior leverage 2.5x; DSCR ≥ 1.35x; trading ≥ 3 years
Construction — main contractors < £5m turnover	Restricted	Fixed-price contract risk; retentions; payment-chain insolvency contagion. Bonding exposure counted in full
Recruitment and staffing	Restricted	Thin margins; HMRC/IR35 and umbrella-company compliance; PAYE arrears risk. Invoice finance preferred
Commercial property development	Restricted	Section 32 conditions
Energy — oil & gas services	Restricted	Transition risk; Climate Risk Standard sector review required
Cash-intensive businesses (car washes, nail bars, takeaways, vape shops)	Restricted	Heightened money-laundering risk. Enhanced Due Diligence; cash-turnover reconciliation to bank statements
Gambling (licensed)	Restricted	Reputational and AML; UK Gambling Commission licence required and in good standing
Cryptoasset businesses	Restricted	FCA cryptoasset registration mandatory; Financial Crime Risk approval
Defence manufacturers	Restricted	Export-control and reputational review; no controversial weapons
Adult entertainment	Prohibited	Reputational risk outside appetite
Unlicensed money service businesses / unregistered payment institutions	Prohibited	Regulatory and AML
Controversial weapons (cluster munitions, anti-personnel mines, chemical/biological)	Prohibited	Legal and reputational
Payday / high-cost short-term lenders	Prohibited	Conduct and reputational
Thermal coal mining or new coal-fired generation	Prohibited	Climate Risk Standard
Businesses whose principal activity is unlawful in any UK jurisdiction	Prohibited	Legal
Shell companies with no trading activity (other than SPVs within Section 32 property lending)	Prohibited	Fraud and AML

6.4 Geographic considerations

- Lending is available across England, Scotland, Wales and Northern Ireland. Security documentation must follow the law of the jurisdiction where the asset sits (for example, standard securities and floating charges under Scots law; mortgages registered with Land Registry NI).

- Obligors with operations or key customers in sanctioned or high-risk third countries require Financial Crime Risk sign-off before credit assessment.
- Property in Flood Zone 3 (or SEPA/NRW/NI equivalents) requires the climate overlay in Section 37.

6.5 Business model tests

The RM must be able to state, in three sentences or fewer, how the business makes money, who pays it, and why customers will keep paying it. If not, the application is not ready for credit. Credit must decline where the business model:

- depends on a single contract or customer > 50% of revenue without contractual protection beyond the loan tenor, unless approved by Senior Credit Manager;
- has no evidenced path to positive operating cash flow within the facility tenor (outside Start-up policy);
- relies on regulatory permissions the business does not hold.

9. Financial Analysis

Ratios are evidence, not decisions: every ratio outside its warning threshold must be explained in the credit application, but no single ratio alone approves or declines a facility. All ratios must be calculated by the bank's spreading tool from spread financial statements, using Normalised EBITDA (Section 10.4) unless stated otherwise. IFRS 16 lease liabilities are included in debt, and lease costs excluded from EBITDA, consistently on both sides.

Spreading standard. Financial statements must be spread into the bank's standard chart (Appendix B) within 10 working days of receipt. Spreading must be done or checked by a person other than the RM for TCE > £1m. Warning thresholds below are Northbridge defaults; Sector Guides (Section 30) may tighten them.

9.1 Profitability

Ratio	Formula	What it tells the lender	Typical interpretation	Warning threshold	Limitations and industry notes
Revenue growth	$(\text{Revenue}_t - \text{Revenue}_{t-1}) / \text{Revenue}_{t-1}$	Demand and market position	Stable/positive growth at or above inflation	Decline > 10% p.a., or growth > 30% p.a. (overtrading)	Distorted by acquisitions, disposals, price inflation, FX. Strip inflation to see volume
Gross margin	Gross profit / Revenue	Pricing power and direct cost control	Stable or improving	Fall > 3pp year on year	Classification of costs between COGS and overheads varies; compare only like-for-like
EBITDA margin	Normalised EBITDA / Revenue	Operating cash-generation capacity	Sector-dependent: wholesale 3–6%, manufacturing 8–15%, services 10–20%	Fall > 2pp YoY, or below sector Guide floor	Ignores capex intensity; a high-EBITDA business can still be cash-poor
Operating margin	EBIT / Revenue	Profit after asset consumption	Positive and stable	< 3%	Depreciation policy differences
Net profit margin	Profit after tax / Revenue	Bottom-line profitability	Positive	Loss in any of last 2 years	Affected by tax, interest and one-offs
ROA	EBIT / Average total assets	Efficiency of the asset base	> cost of debt	< cost of debt	Old, depreciated assets flatter ROA
ROE	Profit after tax / Average equity	Return to owners	10–20%	Negative; or > 40% with low equity (thin capital)	Meaningless with negative or very low equity

9.2 Liquidity

Ratio	Formula	What it tells the lender	Typical interpretation	Warning threshold	Limitations and industry notes
Current ratio	Current assets / Current liabilities	Short-term solvency	1.2x–2.0x	< 1.0x	Inflated by slow stock or bad debts; retailers and food businesses with fast cash cycles operate safely < 1.0x
Quick ratio	(Current assets − Inventory) / Current liabilities	Liquidity without selling stock	0.8x–1.2x	< 0.7x	Receivables quality matters; check ageing
Cash ratio	Cash / Current liabilities	Immediate liquidity	0.1x–0.3x	< 0.05x with overdraft > 80% utilised	Point-in-time; year-end window dressing
Working capital	Current assets − Current liabilities	Buffer funding the operating cycle	Positive, growing with sales	Negative (outside sectors with structural negative WC)	Absolute number; compare to revenue
Operating cash conversion	Cash from operations before tax / Normalised EBITDA	How much EBITDA turns into cash	80%–100%	< 70% for 2 consecutive years	One-year swings from working capital; use 3-year average

9.3 Leverage

Ratio	Formula	What it tells the lender	Typical interpretation	Warning threshold	Limitations and industry notes
Total debt / EBITDA	(All interest-bearing debt + leases) / Normalised EBITDA	Years of EBITDA to repay debt	≤ 2.5x comfortable	> 3.0x; policy max for cash-flow lending 3.0x (hospitality 2.5x), 3.5x with Central Credit Committee	Volatile EBITDA makes this unstable; use LTM and forecast
Net debt / EBITDA	(Total debt − unrestricted cash) / Normalised EBITDA	Leverage net of liquidity	≤ 2.0x comfortable	> 3.0x	Cash must be genuinely free (not trapped, not customer deposits or VAT)
Debt / equity (gearing)	Total debt / Tangible net worth	Owners' capital at risk vs lender's	< 1.0x	> 2.0x, or negative TNW	Director loans: treat as equity only if formally subordinated
Debt service coverage (DSCR)	CFADS / (Scheduled principal + interest + lease payments)	Ability to meet all debt payments from cash flow	1.5x+ strong	< 1.25x policy minimum (hospitality 1.35x); < 1.10x decline outside policy	Depends on how CFADS is defined (Section 10.2); forecast DSCR must use the bank case

9.4 Coverage

Ratio	Formula	What it tells the lender	Typical interpretation	Warning threshold	Limitations and industry notes
Interest cover	EBIT / Net finance costs	Profit buffer over interest	> 4.0x	< 3.0x policy standard; < 2.0x decline outside policy	Ignores principal; flattering for interest-only debt
EBITDA interest cover	Normalised EBITDA / Net finance costs	Cash-proxy cover of interest	> 6.0x	< 4.0x	Ignores capex and tax
Fixed-charge cover (FCCR)	(EBITDA − Rent − Maintenance capex − Tax) / (Interest + Rent + Scheduled principal)	Coverage of all fixed obligations	> 1.2x	< 1.1x	Essential for retail and hospitality where rent is the largest fixed cost
DSCR	See 9.3	Primary repayment test	See 9.3	See 9.3	See 9.3

9.5 Efficiency

Ratio	Formula	What it tells the lender	Typical interpretation	Warning threshold	Limitations and industry notes
Debtor days	Trade receivables / Revenue × 365	Speed of customer collection	30–60 days B2B; ~0 retail	Increase > 15 days YoY, or > 90 days	Year-end timing; VAT-inclusive receivables vs VAT-exclusive revenue overstate days by up to 20%
Creditor days	Trade payables / Cost of sales × 365	Speed of paying suppliers	30–60 days	> 90 days, or rising sharply (stretching suppliers)	Using cost of sales understates days where overheads are on trade credit
Inventory days	Inventory / Cost of sales × 365	Stock holding	Sector-dependent: chilled food 5–20, manufacturing 40–90	Increase > 20 days YoY	Obsolete stock inflates value; check provisions
Cash conversion cycle	Debtor days + Inventory days − Creditor days	Days of working capital to fund	Stable	Increase > 20 days YoY	Composite inherits all component limitations
Asset turnover	Revenue / Average total assets	Revenue generated per £ of assets	Sector-dependent	Fall > 20% YoY	Capital-intensive sectors structurally low

9.6 Cash flow

Ratio	Formula	What it tells the lender	Typical interpretation	Warning threshold	Limitations and industry notes
Operating cash flow (CFO)	Per cash-flow statement, or EBITDA ± Δ working capital − tax	Cash generated from trading	Positive and ≥ 70% of EBITDA	Negative in any year	Small-company accounts often lack a cash-flow statement; derive from balance-sheet movements
Free cash flow (FCF)	CFO − Capex	Cash available after investment	Positive	Negative for 2 consecutive years (excluding funded growth capex)	Lumpy capex distorts single years
CFO / debt	CFO / Total debt	Cash-based leverage	> 25%	< 15%	Inverse of a payback period
CFO / interest	CFO / Interest paid	Cash-based interest cover	> 5.0x	< 3.0x	—
Cash conversion	FCF / Normalised EBITDA	Quality of earnings	> 50%	< 30%	Capex-heavy sectors naturally lower

9.7 Trend and peer analysis

Every financial analysis must show at least the last 3 periods side by side (2 where only 2 exist), the year-to-date position, and the sector median from the bank's peer database where available. The narrative must explain the direction of travel for each warning-threshold breach, not only the latest value.

10. Cash-Flow Assessment

Sustainable operating cash flow is the primary repayment source for all SME lending except investment and development property. The core test is a DSCR of at least 1.25x on Normalised CFADS (1.35x for hospitality), demonstrated on historical performance and, where new debt funds growth, on the bank's own forecast case.

10.1 What "sustainable" means

Cash generation is sustainable when it is (a) recurring, (b) achievable without further borrowing, (c) after the owners have taken what they realistically need to live on, and (d) after the capex needed to keep the business running at its current level. Cash flow that depends on one-off income, deferred tax, stretched suppliers or skipped maintenance is not sustainable.

10.2 CFADS methodology

$$\text{CFADS} = \text{Normalised EBITDA} - \text{Cash tax} - \text{Maintenance capex} - \Delta\text{Working capital} - \text{Sustainable owner drawings}$$

$$\text{DSCR} = \frac{\text{CFADS}}{\text{Scheduled principal} + \text{Interest} + \text{Lease and HP payments}}$$

Component	Policy treatment
Normalised EBITDA	Section 10.4. Use the lower of last full-year and LTM where management accounts show deterioration
Cash tax	Tax actually payable on the normalised profit, not the P&L charge. For sole traders and partnerships, deduct the principals' income tax and NIC on business profits
Maintenance capex	The higher of (i) the 3-year average capex excluding identified growth capex and (ii) 50% of annual depreciation. Growth capex funded by new debt is excluded
Δ Working capital	The investment needed to support forecast revenue at current working-capital days. Releases of working capital from falling sales are not counted as CFADS
Sustainable owner drawings	For companies: dividends required to cover directors' personal living costs where salary has been normalised to below that level, minimum £30k per working owner *(illustrative)*. For sole traders/partners: actual drawings, minimum £30k per working principal
Debt service	All scheduled payments to all lenders over the next 12 months, including HP and lease rentals, the proposed facility on its contractual profile, and RCF interest assuming 50% average utilisation (100% if historically > 75% utilised)
Interest rate	Contractual rate for fixed debt. Floating debt at the current reference rate plus margin, plus the policy stress in Section 14

10.3 Historical vs forecast cash flow

Situation	Primary test	Minimum
Refinancing or general term lending	Historical pro-forma DSCR (latest year's CFADS against proposed total debt service)	1.25x
Growth or capex lending where new cash flow is needed to service new debt	Historical pro-forma DSCR **and** bank-case forecast DSCR by the end of year 2	Historical ≥ 1.10x; bank case ≥ 1.25x
Acquisition finance	Combined historical pro-forma DSCR excluding unproven synergies	1.30x
Start-up	Section 31 liquidity runway; forecast DSCR	Bank case ≥ 1.20x by end of year 2

The bank case. Credit must build its own bank case and must not approve on management forecasts alone. Unless revenue is contracted, the bank case must haircut forecast *incremental* EBITDA by at least 40% and assume no improvement in margin over the latest 12 months. Contracted revenue (signed contract, ≥ the facility tenor or 3 years if shorter, with a creditworthy counterparty) may be taken at 90%.

10.4 Normalisation of EBITDA

Normalisation must be evidence-based, symmetrical (reductions as well as add-backs) and capped. Total add-backs must not exceed 15% of reported EBITDA without Senior Credit Manager approval, and 25% in any case.

Item	Add back?	Treatment and evidence
One-off costs (e.g. redundancy, site closure)	Yes, if genuinely non-recurring	Invoices or board minutes; not if the business has incurred similar costs in 2 of the last 3 years
Exceptional income (e.g. insurance receipts, asset sale profits, grants)	**Deduct**	Remove fully from EBITDA
Owner remuneration below market	**Deduct** the shortfall	Normalise to a market salary for the role (bank's benchmark table), e.g. MD of a £10m–£25m business £100k–£130k *(illustrative)*
Owner remuneration above market	Add back the excess, max 50% of excess	Only if a binding reduction is documented (board minute plus covenant)
Related-party expenses	Adjust to arm's length	Management charges, consultancy to family members, intercompany recharges
Personal expenses through the business	Add back if evidenced and ceased	Cars, travel, school fees; require written confirmation they have stopped
Rent paid to related parties (e.g. directors' SIPP)	Adjust to market rent	If below market, **deduct** the shortfall. If above market, add back excess only if the lease is amended
Director loans	No EBITDA effect	Repayments of director loans count as debt service unless subordinated by deed of postponement

Item	Add back?	Treatment and evidence
Non-recurring legal costs	Add back max 50%	Litigation can recur; full add-back only if the matter is closed and evidenced
Restructuring costs	Add back if programme complete	Not while the programme is ongoing or repeated
Acquisition costs (deal fees)	Yes	Transaction-specific invoices only; integration costs only for 12 months post-completion
COVID-era effects (grants, business rates relief, furlough, CBILS/BBLS interest relief)	**Deduct** income; costs not added back	Periods to FY2022 are not representative; place more weight on post-2022 performance
Accounting changes (IFRS 16, revenue recognition, capitalised development costs)	Restate to a consistent basis	Capitalised development costs are deducted from EBITDA as if expensed, unless supported by a funded R&D tax credit receivable
Unrealised FX and fair-value movements	Remove	Non-cash
Pro-forma synergies	No	Excluded from the credit case; may be shown as upside only

10.5 Seasonality and volatility

- Seasonal businesses (agriculture, tourism, retail, construction) must provide a monthly cash-flow forecast. Peak debt must be covered by committed facilities with ≥ 15% headroom at the forecast peak.
- Where EBITDA has varied by more than 25% between any two of the last 3 years, CFADS must use the 3-year average or the latest year, whichever is lower.
- Businesses with high operating leverage (fixed costs > 60% of total costs) must be tested with the moderate stress applied at month level, not only annually.

13. Qualitative Credit Assessment

Qualitative assessment captures risks the numbers do not yet show. It is scored on defined scales so that two credit officers reach the same view, and it can move the model grade by at most one notch without an override.

13.1 Northbridge “5 Cs” adapted for modern SME lending

The traditional 5 Cs remain useful, but Northbridge separates them by what they actually inform: PD, LGD or structure.

C	Traditional meaning	Northbridge interpretation	Informs
Character	Honesty and willingness to repay	Management integrity, transparency, governance, reporting quality and track record with lenders, HMRC and suppliers	PD (management score); KYC
Capacity	Ability to repay	Normalised CFADS, DSCR under base and stress, bank-case forecasts	PD (cash-flow score); approval
Capital	Owners’ stake	Tangible net worth, owner equity in the deal, willingness to inject capital in stress	PD; structure
Collateral	Security	Realisable value after haircuts, ranking and enforceability	LGD only
Conditions	Economic environment	Sector outlook, macro sensitivities, climate and transition risk, regulatory change, plus facility conditions (covenants, CPs)	PD (industry/external); structure

13.2 Management

Factor	Strong (score 3)	Adequate (2)	Weak (1)
Experience	> 10 years in sector; has managed through a downturn	3–10 years	< 3 years, or new to sector
Succession	Documented plan; second-tier management capable	Informal plan	No succession; owner > 65 with no plan
Key-person dependency	No single person critical; key-person insurance held	One key person, insured	One key person, uninsured
Governance	Board with non-executive or adviser; regular board minutes	Directors meet informally but record decisions	No governance; decisions undocumented

Factor	Strong (score 3)	Adequate (2)	Weak (1)
Financial sophistication	Monthly management accounts within 20 days; budgets met ±10%	Quarterly MI; budgets met ±20%	No MI; accounts filed late
Track record with lenders	No arrears or covenant breaches	Minor, resolved	Recent breaches, arrears or defaults

13.3 Business model

Factor	Strong	Adequate	Weak
Competitive advantage	Clear, durable (brand, licence, proprietary process, location)	Some differentiation	Price-taker in a commodity market
Customer concentration	Largest customer < 15%; top 5 < 40%	Largest 15%–30%	Largest > 30% (policy trigger) or top 5 > 70%
Supplier concentration	Multiple suppliers per input	Some dependency with alternatives	Single-source critical input
Pricing power	Passes cost increases through within 3 months	Partial pass-through with lag	Fixed-price contracts > 12 months without indexation
Recurring revenue	> 60% contracted or subscription	30%–60%	< 30%
Contract quality	Long-term, creditworthy counterparties, termination protection	Annual contracts	Purchase-order basis; terminable at will

Customer concentration rule. Where one customer exceeds 30% of revenue, the application must assess that customer's creditworthiness, the contract terms and remaining tenor, and the cash-flow effect of losing that customer. Above 50%, Senior Credit Manager approval is required (Section 6.5).

13.4 Industry

The Northbridge sector risk score (1 = low to 5 = high) is set by Portfolio Credit Risk for each SIC code from: cyclicality (correlation of sector default rate with GDP), regulatory intensity, technological disruption, commodity exposure, and economic sensitivity to interest rates and consumer demand. The RM may not change the sector score, but must explain where the obligor differs from its sector (for example, a contractor with only public-sector clients).

13.5 External environment

Each application must state the obligor's sensitivity to the following, quantified where material (> 10% EBITDA impact):

Factor	What to assess
Interest rates	Floating-rate share of debt; impact of +300bps on DSCR (Section 14)
Inflation	Cost-base composition; ability to reprice contracts
Consumer demand	B2C exposure; discretionary vs essential spend
Energy prices	Energy as % of costs; contract fix expiry dates
Labour costs	Staff costs as % of revenue; National Living Wage exposure; skills shortages

Factor	What to assess
Exchange rates	Unhedged FX purchases or sales > 10% of revenue; hedging policy

14. Stress Testing

Every application with TCE above £250k, and every Restricted-sector or grade 7–10 application at any size, must be stress tested on the bank case. The borrower must pass the mild stress outright, survive the moderate stress on cash flow or committed liquidity, and show adequate liquidity and security cover under the severe stress.

14.1 Standard scenarios

Shocks apply together, to the bank-case year in which debt service is highest (usually year 1 or 2), and are held for 12 months.

Scenario	Revenue	EBITDA margin	Interest rate (floating debt)	Working capital
Mild	−10%	−2 percentage points	+100bps	No release from lower sales
Moderate	−20%	−4 percentage points	+300bps	No release; debtor days +10
Severe	−30%	−6 percentage points	+500bps	No release; debtor days +15; supplier credit −10 days

Mitigating management actions (cutting dividends, deferring maintenance capex) may be shown separately but must not be used to pass the mild or moderate test, except that discretionary distributions may be removed in the severe scenario.

14.2 Pass criteria

Scenario	Test	Requirement	If failed
Mild	Stressed DSCR	≥ 1.10x	Decline or restructure (reduce amount, extend tenor within asset life, add equity)
Moderate	Stressed DSCR, or liquidity cover of the shortfall	DSCR ≥ 1.00x, **or** cash plus undrawn committed facilities covers ≥ 12 months of the CFADS shortfall	Decline or restructure; approval outside this requires a Policy Exception at Senior Credit Manager level
Severe	Liquidity runway and forced-sale security cover	Runway ≥ 6 months **and** forced-sale security cover ≥ 80% of Northbridge exposure (≥ 100% for grades 7–8)	Reduce unsecured exposure, add security or guarantees; otherwise Senior Credit Manager approval with documented rationale

The severe scenario is not a survival test. Many sound SMEs would not service full debt through a 30% revenue fall; its purpose is to size the bank's potential loss and the time available to act.

14.3 Stress metrics

Metric	Formula / method
DSCR stress	Stressed CFADS / Stressed debt service
Interest coverage stress	Stressed EBIT / Stressed interest; must remain ≥ 1.5x under mild
Liquidity runway (months)	(Cash + undrawn committed facilities) / Monthly CFADS shortfall
Covenant headroom	Base-case headroom must be ≥ 20% for leverage and DSCR covenants at the first test date (15% with Credit Manager approval). The mild stress must not breach any financial covenant in the first 12 months
Cash burn	For loss-making or start-up businesses: monthly operating cash outflow under base and moderate stress
Refinancing risk	Any balloon > 30% must be refinanceable at maturity at +200bps on the then-reference rate, within policy LTV and DSCR, using the bank case for the maturity year

\text{Runway (months)} = \frac{\text{Cash} + \text{Undrawn committed facilities}}{(\text{Stressed debt service} - \text{Stressed CFADS}) / 12}

14.4 Sector-specific stresses

These replace the generic margin shock for the named sector where they are more severe.

Sector	Additional or replacement stress
Hospitality	Revenue −25% (moderate); energy costs +50%; wages +8%
Construction	Largest contract cancelled or delayed 6 months; retentions unpaid; one key subcontractor fails
Food manufacturing and processing	Loss of largest customer (pro-rata over 6 months); input commodity +20% with 6-month pass-through lag
Agriculture	Yield −20%; output price −15%; support-payment transition per the latest scheme schedule
Transport and logistics	Fuel +30%; driver wages +10%
Retail	Like-for-like sales −15%; rent review +10%
Recruitment	Largest client lost; debtor days +20
Commercial property (investment)	Rental income −20% via voids; capital value −25%; interest +300bps (ICR test, Section 32)
Import / export	GBP ±15% against main trading currency, whichever direction hurts
Energy-intensive manufacturing	Energy +50%; carbon cost per Climate Risk Standard transition scenario

14.5 Climate overlay

For property in high flood-risk zones and obligors in carbon-intensive sectors, the severe scenario must also include the relevant physical or transition shock from Section 37 (for example, uninsurable flood risk reducing property value by 30%).

15. Lending Limits

The maximum Northbridge will lend to an obligor is the lowest of four independent limits: the cash-flow limit, the product limit, the grade-adjusted unsecured limit, and the concentration limit. Security can increase what is safe to lend only within the cash-flow limit; it never lifts it.

15.1 Cash-flow (debt capacity) limit

Total senior debt to all lenders must not exceed:

Measure	Standard	Hospitality / Restricted sectors	With Central Credit Committee approval
Senior debt / Normalised EBITDA	3.0x	2.5x	3.5x (never above 4.0x under this policy)
Debt service at policy DSCR	Debt service ≤ CFADS / 1.25	≤ CFADS / 1.35	≤ CFADS / 1.15

$$\text{Max annual debt service} = \frac{\text{CFADS}}{\text{Minimum DSCR}}, \qquad \text{Max new debt} = \text{PV of available debt service over tenor at the stressed rate}$$

15.2 Product limits

Product	Maximum
Overdraft	Lower of 15% of annual turnover and £2m (20% / £3m for seasonal businesses with a monthly forecast)
Unsecured term loan	Lower of 10% of turnover and the grade-adjusted unsecured limit (15.3)
Business credit card	£25k per card, £100k per obligor
Invoice discounting	85% of eligible debts
Owner-occupied property loan	70% LTV and DSCR from trading cash flow
Investment property loan	65% LTV and ICR ≥ 1.75x at stressed rate
Development	60% LTGDV, 75% LTC
Single SME obligor (TCE)	£50m (above this, Corporate Credit Policy)

15.3 Grade-adjusted unsecured exposure

Unsecured exposure means exposure not covered by forced-sale value of tangible security (personal guarantees do not count as security for this limit).

Segment	Grades 1–4	Grades 5–6	Grade 7	Grade 8+
Micro	£100k	£50k	£25k	Nil
Small	£500k	£250k	£100k	Nil
Medium	£2m	£1m	£500k	Nil
Upper Mid-Market	£5m	£2.5m	£1m	Nil

Unsecured exposure must also not exceed 1.0x Normalised EBITDA for grades 1–6, and 0.5x for grade 7.

15.4 Concentration limits

Limit	Maximum	Owner
Single connected group (TCE)	£50m, and ≤ 2% of SME book Tier 1 capital allocation	Central Credit Committee
Connected-party exposure to directors' other businesses	Aggregated into the group TCE (Section 33)	Credit
Any single sector (excl. owner-occupied property)	18% of SME exposure (Amber), 22% (Red)	GCRC
Commercial real estate investment + development	25% of SME exposure; development ≤ 4%	GCRC
Hospitality	6% of SME exposure	GCRC
Construction	5% of SME exposure	GCRC
Grade 8–10 exposure	7% of SME exposure	GCRC
Any single UK region (ITL1)	25% of SME exposure	GCRC

Applications that would cause a portfolio concentration limit to breach Amber require Central Credit Committee approval and notification to Portfolio Credit Risk; at Red, approval requires GCRC.

15.5 Worked limit test (illustrative)

A grade-5 Small-segment engineering firm, turnover £6m, Normalised EBITDA £720k, CFADS £480k, existing debt service £150k, no property.

Test	Calculation	Limit
Cash-flow (leverage)	3.0 × £720k	£2.16m senior debt
Cash-flow (DSCR)	£480k / 1.25 − £150k = £234k available annual debt service → 5-year amortising at 8% stressed	c.£935k new debt
Unsecured (grade 5, Small)	Lower of £250k and 1.0x EBITDA	£250k unsecured
Product (unsecured term loan)	10% of £6m	£600k

Maximum new lending is c.£935k, of which no more than £250k may be unsecured. The remaining c. £685k requires tangible security with forced-sale value at least equal to that amount.

30. Sector-Specific Underwriting

Sector Guides tighten the general policy where a sector's risks are specific; they never loosen it. The summaries below are the minimum considerations; the full Sector Guides add benchmark ratios from the bank's peer database.

Sector	Main risks	Key ratios	Key documents	Stress scenario	Security considerations	Warning indicators
Retail	Online shift; rent and rates; discretionary demand; stock obsolescence	Like-for-like sales; gross margin; FCCR (rent-adjusted); stock turn	Lease schedule; store-level P&L; stock ageing	LFL −15%; rent review +10%	Leasehold has little value; stock 50%–80% haircut	Store closures; rising markdowns; supplier credit insurance withdrawn
Hospitality	Energy, labour, consumer demand; licensing; high failure rate	EBITDA margin; FCCR; wet/dry/rooms mix; RevPAR (hotels)	Licence; trading by outlet; energy contracts	Revenue −25%; energy +50%; wages +8%	Trading property valued on trading potential, 40% haircut	Falling covers; HMRC TTP; energy contract expiring unhedged
Construction	Fixed-price contracts; retentions; payment-chain insolvency; cost inflation	Order book cover; WIP and retentions vs equity; gross margin per contract	Contract list with margins; WIP schedule; bonding lines	Largest contract cancelled or delayed 6 months	Receivables often disputed; WIP worth little	Margin erosion on live contracts; claims; subcontractor disputes
Manufacturing	Input costs; customer concentration; capex intensity; energy	Gross margin; capacity utilisation; capex / depreciation	Customer contracts; order book; asset register	Loss of top customer; input +20%	P&M: general vs specialist haircuts	Utilisation < 65%; delayed capex; quality failures
Professional services	Key-person; partner exits; PI claims; WIP recovery	Fee per fee-earner; lock-up days (WIP + debtors); partner capital	Partnership deed; PI insurance; regulator status	Loss of top 2 fee-earners; lock-up +20 days	Few tangible assets; partner capital lock-in	Partner departures; regulatory investigations; rising lock-up
Healthcare	Regulatory rating; staffing; public-funding rates; occupancy (care)	Occupancy; staff cost % of revenue; EBITDARM	CQC / regulator reports; contracts with commissioners	Occupancy −8pp; agency staff costs +25%	Care homes: specialist trading property	Regulator rating downgrade; rising agency use
Transport and logistics	Fuel, drivers, utilisation; contract renewal	Fleet utilisation; revenue per vehicle; FCCR	Fleet schedule; operator licence; customer contracts	Fuel +30%; driver wages +10%	Vehicles: 40% haircut; residual risk	Operator licence issues; ageing fleet; lost contracts

Sector	Main risks	Key ratios	Key documents	Stress scenario	Security considerations	Warning indicators
Agriculture	Weather, commodity prices, subsidy transition, disease	Output per hectare; cost per unit; gearing vs land value	Farm business plan; support-scheme correspondence; land titles	Yield −20%; price −15%	Land: low LTV, illiquid; livestock perishable	Disease outbreaks; scheme payment delays; rising rent
Wholesale	Thin margins; working capital; customer credit risk	Gross margin; debtor/stock days; CCC	Aged debtors and stock; credit insurance	Margin −1pp; debtor days +15	Receivables and stock; invoice finance preferred	Credit insurance limits cut; stock build-up
Technology	Revenue durability; churn; capitalised development; cash burn	ARR growth; churn; gross margin; EBITDA (dev costs expensed)	Customer cohort data; contracts; IP ownership	Churn doubled; new bookings −30%	Few tangible assets; IP not lending value	Rising churn; capitalised costs growing faster than revenue
Property	Values, voids, interest rates, refinancing	LTV; ICR; debt yield; WAULT	Valuation; tenancy schedule; leases	Section 32	Section 32	Lease breaks; tenant distress; falling valuations
Recruitment	Thin margins; compliance (IR35, umbrella companies); client concentration	Gross profit per placement; debtor days; PAYE compliance	HMRC compliance evidence; client contracts	Largest client lost; debtor days +20	Invoice finance; PAYE arrears rank ahead	PAYE/VAT arrears; disputed invoices
Energy	Transition risk; commodity prices; regulation; technology	EBITDA vs commodity price; contracted revenue %	Offtake contracts; licences; transition plan	Price −30%; carbon cost per scenario	Specialist assets; decommissioning liabilities	Licence changes; stranded-asset indicators
Import / export	FX; transit; sanctions; supplier and buyer default	FX exposure % of costs/revenue; trade cycle days	Supplier/buyer contracts; hedging policy; shipping docs	GBP ±15%; shipment delays of 60 days	Goods in transit; credit insurance assignment	Hedging lapses; new high-risk counterparties
E-commerce	Customer acquisition cost; platform dependency; returns; inventory	Contribution margin after marketing; CAC payback; returns rate	Platform reports; cohort data; marketing spend	CAC +30%; returns +5pp	Stock (fashion: 80% haircut)	Marketplace account suspensions; rising CAC

Use of Sector Guides. Where a sector benchmark ratio and the general warning threshold in Section 9 differ, the stricter applies. Credit may not approve a facility that breaches a Sector Guide mandatory requirement without a Policy Exception.

42. Credit Application / Credit Memo Template

All manually underwritten applications above L2 must use this template. Sections may be brief where a topic is immaterial, but none may be deleted; “N/A” must be justified in one line. The recommendation and key risks appear first so that the approver reads the conclusion before the evidence.

#	Section	Required content
0	Summary box	Obligor; segment and overlays; TCE before/after; facilities requested; recommended decision; grade (model / final); PD; LGD; EL; RAROC; authority level required; exceptions (Y/N)
1	Recommendation	Approve / approve with amendments / decline, in one paragraph, with the main reasons
2	Customer	Legal name, number, incorporation date, registered office, SIC, years trading, KYC status and Customer Risk Rating
3	Ownership	Structure chart; shareholders and PSCs; UBOs; group connections and TCE
4	Management	Directors’ experience; succession; key-person risk; governance and reporting quality (Section 13.2 scores)
5	Business model	What the business does, who pays it, why customers stay; competitive position; customer and supplier concentration
6	Industry	Northbridge sector classification and risk score; sector outlook; how the obligor differs from its sector
7	Existing banking relationship	Facilities with Northbridge and others; account conduct (12m); utilisation; covenant compliance history; EWI history
8	Facilities requested	For each: product, amount, tenor, repayment profile, pricing, fees
9	Purpose	Use of funds; sources and uses table; owner contribution
10	Financial analysis	3-year spread with YTD; key ratios vs warning thresholds and sector benchmarks; trend narrative
11	Cash flow	Normalisation schedule; CFADS; historical pro-forma DSCR; bank-case forecast and assumptions vs management case

#	Section	Required content
12	Leverage	Senior and total debt / EBITDA (pre and post); debt capacity vs Section 15 limits
13	Security	Security schedule: asset, ranking, MV, haircut, lending value, valuation date; security cover; unsecured exposure
14	Guarantees	Guarantors, amounts, net worth, ILA status, or rationale for waiver
15	Risk grade	Model score and grade; qualitative adjustments; overrides with reason codes
16	PD, LGD, EL	Values used; pricing vs minimum margin; RAROC vs hurdle
17	Stress test	Mild / moderate / severe results vs Section 14 criteria; sector stresses; runway; refinancing risk
18	Key risks	The 3–6 risks that matter, each stated specifically
19	Mitigants	Mitigant for each key risk, and residual risk
20	Covenants	Financial (definition, level, testing, headroom vs bank case) and non-financial
21	Policy exceptions	Each exception: rule, magnitude, justification, compensating factors
22	Conditions precedent	Numbered list
23	Conditions subsequent	Numbered list with due dates
24	Monitoring plan	MI required, review frequency, EWIs specific to this obligor
25	ESG and climate	Physical and transition assessment; insurance; actions
26	Independent challenge log	Credit’s questions and the RM’s responses
27	Approval	Approver(s), authority level, decision, amendments, conditions, date, next review date

Quality rules. No adjectives without evidence (“strong management” must be supported by Section 13 factors). All figures must reconcile to the spread. Every key risk must have a corresponding mitigant, covenant or monitoring action, or an explicit statement that it is accepted.

43. Worked Example — MGT Foods UK Ltd

Outcome: the facilities as requested are declined, and an amended structure is approved. The request fails the mild and moderate stress tests in Section 14. A smaller term loan, funded alongside a £500k subordinated director loan, passes every test and is approved at Senior Credit Manager (L5) level. MGT Foods UK Ltd, its owners, customers and all figures are fictional.

43.1 Summary box

Item	Detail
Obligor	MGT Foods UK Ltd (fictional), private limited company, incorporated 2009
Business	Manufacturer of chilled and frozen ready meals and sauces for UK grocery retailers and food-service; single freehold site in the East Midlands; 85 employees
Segment / overlays	Medium (turnover £12.0m); owner-managed
Sector	Food manufacturing — Acceptable (Neutral); sector risk score 3
KYC	Complete; Customer Risk Rating Low
Requested	Term loan £2.0m (7 years) for a new production line; RCF £500k (3 years) replacing £300k overdraft
Existing Northbridge facilities	Term loan £600k outstanding (5 years remaining, fixed 6.50%); overdraft £300k limit (£150k drawn)
Other lenders	Hire purchase £200k (vehicles), third-party asset finance company
TCE after (as recommended)	£2.85m
Grade	Model score 640 → grade 6; final grade 6; Master Scale central PD 1.20%
LGD / EAD / EL	28% / £2.71m / c.£9k p.a.
Recommendation	Decline as requested; approve amended structure (Section 43.11)
Authority	L5 Senior Credit Manager, joint with Commercial Manager (TCE £2.85m, grade 6)
Policy exceptions	None in the approved structure

43.2 Ownership, management and business model

Area	Assessment
Ownership	Managing Director and founder (age 61) 70%; Operations Director 15%; founder’s sibling (non-executive, not employed) 15%. No corporate shareholders; PSC register verified

Area	Assessment
Management	MD: 30 years in food manufacturing. Operations Director: 12 years, joined 2018. Finance function: in-house financial controller, external accountants. Monthly management accounts produced within 20 days. No formal succession plan. Management score: Adequate (experience Strong; succession Weak)
Business model	Contract manufacture of own-label ready meals under supply agreements. Customer A (a national grocery retailer) 38% of revenue; top 3 customers 61%. Recurring weekly orders but supply agreements are 12-month rolling and terminable on 3 months' notice
Purpose of request	Install a second high-speed production line (total cost £2.4m: equipment £2.0m, installation and commissioning £0.4m) to supply a new premium range to Customer A. A letter of intent has been received; the 3-year supply agreement is not yet signed
Management case	New line adds £3.0m revenue and £450k EBITDA a year from FY28 (year to 31 March 2028)

43.3 Financial statements (years to 31 March, £000)

Profit and loss

£000	FY24	FY25	FY26
Revenue	10,400	11,300	12,000
Cost of sales	(7,176)	(7,966)	(8,640)
Gross profit	3,224	3,334	3,360
Overheads (excl. D&A)	(1,924)	(2,014)	(2,110)
EBITDA (reported)	1,300	1,320	1,250
Depreciation and amortisation	(280)	(300)	(320)
EBIT	1,020	1,020	930
Net interest	(85)	(80)	(70)
Profit before tax	935	940	860
Tax (25%)	(234)	(235)	(215)
Net profit	701	705	645
Dividends paid	(350)	(350)	(350)

Balance sheet (31 March)

£000	FY24	FY25	FY26
Freehold property (NBV)	1,660	1,630	1,600
Plant and machinery	1,380	1,460	1,400
Inventory	880	950	1,100
Trade receivables	1,345	1,500	1,850
Cash	210	260	250
Total assets	**5,475**	**5,800**	**6,200**

£000	FY24	FY25	FY26
Trade payables	1,300	1,420	1,550
Accruals and other creditors	270	290	300
Corporation tax	140	130	120
Overdraft	—	—	150
Term loan — current	100	105	110
Hire purchase — current	70	80	80
Current liabilities	**1,880**	**2,025**	**2,310**
Term loan — non-current	705	600	490
Hire purchase — non-current	280	200	120
Deferred tax	160	170	180
Total liabilities	**3,025**	**2,995**	**3,100**
Net assets / equity	**2,450**	**2,805**	**3,100**

Year to date (5 months to 31 August 2026, management accounts): revenue £5.10m (prior year £4.90m, +4.1%); EBITDA £541k, margin 10.6% (prior year 10.3%). Margin decline has paused but not reversed.

43.4 Normalisation (FY26)

£000	Amount	Policy basis (Section 10.4)
Reported EBITDA	1,250	
Add: redundancy costs (night-shift restructure, completed Nov 2025)	+60	One-off; programme complete; first in 3 years
Add: legal costs on a settled customer dispute (£40k)	+20	50% add-back cap on non-recurring legal costs
Less: MD salary below market (paid £50k; benchmark £110k)	−60	Owner remuneration normalised to market
Normalised EBITDA	**1,270**	Add-backs 6.4% of reported EBITDA (within 15% cap)

The same MD adjustment applied to prior years gives normalised EBITDA of £1,240k (FY24) and £1,260k (FY25). EBITDA has varied by less than 25% across 3 years, so FY26 normalised EBITDA is used. LTM EBITDA to August 2026 is slightly higher, so the lower FY26 figure is retained.

43.5 Key ratios

Ratio	FY24	FY25	FY26	Policy warning (Section 9)	Comment
Revenue growth	—	8.7%	6.2%	Decline > 10% or growth > 30%	Healthy, partly price inflation
Gross margin	31.0%	29.5%	28.0%	Fall > 3pp YoY	−1.5pp each year; not yet at trigger but persistent
EBITDA margin (reported)	12.5%	11.7%	10.4%	Fall > 2pp YoY	−2.1pp over 2 years; key risk

Ratio	FY24	FY25	FY26	Policy warning (Section 9)	Comment
Net profit margin	6.7%	6.2%	5.4%	Loss in last 2 years	Profitable throughout
Current ratio	1.30x	1.34x	1.39x	< 1.0x	Adequate
Quick ratio	0.83x	0.87x	0.91x	< 0.7x	Adequate
Working capital (£000)	555	685	890	Negative	Growing with receivables
Net debt (£000)	945	725	700	—	Low
Net debt / EBITDA (reported)	0.73x	0.55x	0.56x	> 3.0x	Low leverage before the request
Interest cover (EBIT / interest)	12.0x	12.8x	13.3x	< 3.0x	Very strong
Debtor days	47	48	56	+15 days YoY or > 90	+8 days in FY26: Customer A moved to 60-day terms
Inventory days	45	44	46	+20 days YoY	Mainly frozen finished goods and packaging
Creditor days	66	65	65	> 90	Stable; not stretching suppliers
Cash conversion cycle	26	27	37	+20 days YoY	+10 days, driven by Customer A terms

Calculation basis (FY26): current ratio = 3,200 / 2,310; quick ratio = (3,200 − 1,100) / 2,310; debtor days = 1,850 / 12,000 × 365; inventory days = 1,100 / 8,640 × 365; creditor days = 1,550 / 8,640 × 365; net debt = (600 + 200 + 150) − 250.

43.6 Structures compared and debt service

After first review, Credit challenged the requested structure and the MD offered a £500k subordinated director loan (source verified: proceeds of a personal investment-property sale). Both structures are assessed below. Rate assumptions are illustrative: SONIA 4.00% (an assumption, not a forecast); term loan margin 3.00%; RCF margin 3.50%.

Sources and uses (£000)

	As requested	As recommended
Use: equipment	2,000	2,000
Use: installation and commissioning	400	400
Total project cost	**2,400**	**2,400**
Source: new term loan	2,000 (83%)	1,750 (73%)
Source: subordinated director loan	—	500 (21%)
Source: company cash	150 (6%)	150 (6%)
Source: RCF drawing	250 (10%)	—

	As requested	As recommended
Overdraft £150k refinanced into RCF at drawdown	Yes	Yes
RCF drawn / undrawn after drawdown	400 / 100	150 / 350
Cash after drawdown	100	100
Committed liquidity (cash + undrawn RCF)	**200**	**450**

Annual debt service (£000)

Facility	Terms	As requested	As recommended
New term loan	7.00%; requested: 7 years amortising; recommended: 6 months interest-only, then 84 months amortising	371	325
Existing Northbridge term loan	£600k, 5 years remaining, fixed 6.50%	144	144
Hire purchase (third party)	Contractual	85	85
RCF £500k	Interest at 7.50% on 50% assumed utilisation	19	19
Total debt service		**619**	**573**

The annuity factor for 7 years at 7.00% is $0.07 / (1 - 1.07^{-7}) = 0.1856$, so £2.0m → £371k and £1.75m → £325k a year.

43.7 Cash flow and DSCR

Historical pro-forma (FY26 CFADS against proposed debt service)

£000	FY26	Basis
Normalised EBITDA	1,270	Section 43.4
Cash tax	(220)	25% × (1,270 − 320 D&A − 70 interest)
Maintenance capex	(160)	Higher of 3-year average non-growth capex (£150k) and 50% of D&A (£160k)
Δ Working capital	(55)	4% organic growth × operating working capital of £1,400k
Sustainable owner distributions	(100)	Policy minimum £30k × 2 working owners + £40k historical dividend to the non-executive shareholder
CFADS	**735**	

Bank case, FY28 (first full year of the new line)

Management forecasts £3.0m incremental revenue and £450k incremental EBITDA. The supply agreement is unsigned, so the bank case takes 60% of the increment (Section 10.3), assumes no organic growth, and holds the base EBITDA margin flat.

£000	Management case	Bank case	Bank-case basis
Revenue	15,480	13,800	12,000 base + 60% of 3,000

£000	Management case	Bank case	Bank-case basis
EBITDA	1,771	1,540	1,270 base + 60% of 450
EBITDA margin	11.4%	11.2%	
D&A		560	320 + new line over 10 years
Cash tax		(201)	25% × (1,540 − 560 − 176 interest)
Maintenance capex		(280)	50% of D&A
Δ Working capital		(120)	Ramp-up of receivables and stock
Owner distributions		(100)	
CFADS (recommended structure)		**839**	

DSCR results

Test	Requirement	As requested	As recommended
Historical pro-forma DSCR	≥ 1.10x for capex lending (Section 10.3)	735 / 619 = **1.19x** ✔	735 / 573 = **1.28x** ✔
Bank-case DSCR by end of year 2	≥ 1.25x	843 / 619 = **1.36x** ✔	839 / 573 = **1.46x** ✔

The recommended structure clears the 1.25x general standard on historical cash flow alone, so it does not depend on the new contract to service debt. The requested structure depends on it.

43.8 Leverage at drawdown

£000	As requested	As recommended
Senior debt (TLs + HP + RCF drawn)	3,200	2,700
Less cash	(100)	(100)
Senior net debt	3,100	2,600
Senior net debt / Normalised EBITDA	**2.44x**	**2.05x**
Policy limit (Section 15.1)	3.0x	3.0x

The subordinated director loan is excluded from senior debt because it is postponed by deed.

43.9 Stress tests (applied to the FY28 bank case)

Floating-rate debt: c.£2.17m as requested, c.£1.93m as recommended. Distributions are removed only in the severe scenario, as Section 14.1 allows. Working capital release from lower sales is ignored.

£000	Base	Mild	Moderate	Severe
Revenue	13,800	12,420	11,040	9,660
EBITDA margin	11.2%	9.2%	7.2%	5.2%
EBITDA	1,540	1,138	790	498
CFADS (recommended)	839	662	410	218
Debt service (recommended)	573	592	631	670
DSCR (recommended)	**1.46x**	**1.12x**	**0.65x**	**0.33x**

£000	Base	Mild	Moderate	Severe
Annual shortfall (recommended)	—	—	221	452
Liquidity runway (recommended)	—	—	**24 months**	**12 months**
Interest cover, EBIT / interest (recommended)	5.6x	3.0x	1.0x	<0
CFADS (requested)	843	667	410	218
Debt service (requested)	619	641	684	728
DSCR (requested)	**1.36x**	**1.04x**	**0.60x**	**0.30x**
Liquidity runway (requested)	—	—	**9 months**	**5 months**

Section 14.2 criterion	As requested	As recommended
Mild: DSCR ≥ 1.10x	1.04x ✘ **fail**	1.12x ✔ pass (thin)
Moderate: DSCR ≥ 1.00x or runway ≥ 12 months	0.60x and 9 months ✘ **fail**	Runway 24 months ✔ pass
Severe: runway ≥ 6 months and forced-sale security cover ≥ 80%	5 months ✘ **fail**; cover 111%	12 months ✔; cover 121% ✔
Mild stress breaches a covenant in first 12 months?	n/a	No (mild DSCR 1.12x vs covenant 1.10x)

Sector stress (food manufacturing, Section 14.4). Loss of Customer A over 6 months removes c. £6.4m of bank-case revenue post-expansion. No structure survives this on cash flow, which is why contract terms and concentration monitoring matter more than leverage here. Under the recommended structure, committed liquidity of £450k and security cover of 121% in the severe case give Northbridge time and a low expected loss if it occurs.

43.10 Security and LTV

Asset	Charge	Value basis	Value (£000)	Haircut	Lending value (£000)
Freehold factory	First legal charge (existing)	RICS Red Book MV, June 2026	2,400	30%	1,680
Trade receivables < 90 days	Debenture (fixed charge)	Aged list, Aug 2026	1,750	50%	875
Inventory — perishable	Debenture (floating)	Book	600	80%	120
Inventory — packaging and ambient	Debenture (floating)	Book	500	50%	250
New production line (specialist)	Fixed charge	Cost	2,000	75%	500
Existing plant (installed, specialist)	Debenture (fixed)	NBV	1,400	75%	350

Asset	Charge	Value basis	Value (£000)	Haircut	Lending value (£000)
Total lending value					**3,775**

Measure	As requested	As recommended
Total Northbridge exposure (limits)	3,100	2,850
Security cover (lending value / exposure)	122%	132%
Security cover, severe stress (receivables and stock re-based to stressed revenue: £3,440k)	111%	121%
Unsecured exposure (Section 15.3)	Nil	Nil
LTV: existing TL / property MV	25%	25%
LTV: all Northbridge term debt / property MV	108%	98%

The property alone does not cover the term debt; cover relies on the debenture and equipment, which are worth least when the business fails. Both structures are adequately secured, which confirms Section 16.6: security is not the deciding issue — repayment capacity under stress is.

43.11 Risk grade, PD and return

Scorecard category	Key input	Points	Max
Cash flow and debt service	Pro-forma DSCR 1.28x; CFO / debt	56	90
Leverage	Pro-forma net debt / EBITDA 2.05x; gearing	50	72
Account conduct	Average OD utilisation 55%; no excesses or returns	62	72
Credit bureau	Clean; pays 3 days beyond terms on average	50	60
Liquidity	Current 1.39x; quick 0.91x	34	48
Profitability	EBITDA margin 10.4%	28	48
Industry risk	Sector score 3	24	48
Business performance	Revenue CAGR 7.4%; EBITDA margin −2.1pp over 2 years	18	42
Management quality	Experience strong; succession weak	28	42
Customer relationship	Banked 12 years	26	30
Business model / concentration	Largest customer 45% post-expansion	6	30
External environment	Energy and labour sensitivity	8	18
Category points + 250 base points		**640**	850

Score 640 → odds 100:1 → model PD 0.99% → **grade 6** (score band 612–651). No qualitative adjustment: concentration and margin trend are already scored. Master Scale central PD of 1.20% is used for EL and pricing.

Parameter	Value
PD	1.20%
LGD	28% (first-charge property plus debenture)
EAD	£2.71m = TLs £2.35m + RCF drawn £150k + 60% CCF × £350k undrawn
Expected loss	1.20% × 28% × £2.71m = c.£9.1k a year
Pricing	TL SONIA + 3.00%; RCF SONIA + 3.50% plus 0.75% non-utilisation fee; arrangement fee 1.25% (above grade-6 minimum margin of 2.50%)
RAROC *(illustrative)*	16.5%, above the 14% hurdle

43.12 Key risks and mitigants

Key risk	Mitigant	Residual
Margin erosion: gross margin down 3pp in 2 years under grocer pricing pressure and input inflation	Bank case assumes no recovery; YTD margin stable at 10.6%; stress-tested; gross-margin EWI at 26%	Moderate
Customer concentration: Customer A rises from 38% to c.45% of revenue	3-year signed supply agreement as CP; termination-notice covenant; concentration EWI at 50%; recommended debt serviceable without the new volume	Moderate — accepted
Execution: commissioning delay or cost overrun	Fixed-price installation contract with supplier performance retention; 6-month interest-only period; staged drawdown paid directly to supplier; £350k undrawn RCF	Low
Forecast risk on incremental volume	40% haircut; recommended structure passes 1.25x on historical cash flow	Low
Key person and succession: founder MD aged 61, no plan	Key-person cover (CS); succession plan (CS); capable Operations Director	Moderate
Cost shocks: energy (fixed until Sept 2027) and wages	Stress-tested; energy-renewal EWI	Moderate
Interest rate: c.70% of debt floating after drawdown	Stress-tested at +500bps; hedging for 50% of the new TL offered (not a condition)	Low

43.13 Independent challenge log (extract)

#	Credit challenge	RM / customer response	Outcome
1	Why not use the management case, given the letter of intent?	LOI only; agreement expected in Q4 2026	Policy 40% haircut applied; signed agreement made a CP

#	Credit challenge	RM / customer response	Outcome
2	Customer A moved to 60-day terms in FY26: a sign of buyer power?	Confirmed; part of a supplier-wide change	Reflected in CCC and ΔWC; debtor-days EWI at 65
3	Requested structure fails mild stress. Fix by extending tenor to 10 years?	RM proposed 10 years	Rejected: specialist food equipment faces technology and hygiene-standard change; 7.5 years is the prudent economic life for lending. Owner contribution preferred
4	Is a personal guarantee needed?	MD contributing £500k subordinated	Not required: unsecured exposure nil, grade 6, no Section 17.1 trigger; owner alignment achieved through subordinated funds

43.14 Recommended facilities and terms

Facility	Amount	Tenor and repayment	Pricing
Term loan B (new, capex)	£1,750,000	7.5 years: 6 months interest-only, then 84 monthly amortising instalments	SONIA + 3.00%
RCF (new)	£500,000	3 years committed	SONIA + 3.50%; 0.75% non-utilisation fee
Term loan A (existing)	£600,000	Unchanged: 5 years remaining	Fixed 6.50%
Overdraft (existing)	£300,000	Cancelled on RCF drawdown	—
TCE	**£2,850,000**		

Security: new all-monies debenture (fixed and floating charges), replacing the existing debenture; existing first legal charge over the freehold factory extended to all monies; fixed charge over the new production line; deed of postponement over the £500k director loan. No personal guarantee.

Financial covenants (quarterly, LTM, from 30 September 2027)

Covenant	Level	Bank case at first test	Headroom
DSCR	≥ 1.10x, stepping to ≥ 1.20x from 31 March 2029	c.1.45x	24%
Senior net debt / Normalised EBITDA	≤ 2.50x	c.1.90x	24%

Non-financial covenants: standard package (Section 18.2), plus: distributions capped at £100k a year to 31 March 2029, and only if post-distribution DSCR ≥ 1.35x and leverage ≤ 2.0x; no repayment of the director loan while Term loan B is outstanding without Credit consent; non-project capex ≤ £350k a year; notice within 5 working days of any termination notice or volume reduction > 15% from Customer A.

Conditions precedent

1. Signed supply agreement with Customer A for the premium range: term ≥ 3 years; volumes ≥ 70% of the management case.
2. £500k director loan received in the company's Northbridge account, with deed of postponement executed and source of funds verified.
3. Company cash contribution of £150k paid to the supplier, evidenced.
4. Fixed-price supply and installation contract with the equipment supplier, including commissioning performance retention of at least 10%.
5. Security documents executed and registered; Companies House and Land Registry registrations confirmed.
6. Specialist valuation of the new production line from a panel valuer.
7. Buildings, plant and business-interruption insurance (≥ 12 months) with Northbridge noted as loss payee.
8. Drawdowns of Term loan B paid directly to the supplier in three stages (30% order, 60% delivery, 10% commissioning).

Conditions subsequent

1. Key-person life and critical-illness cover on the MD for £500k, assigned to Northbridge, within 60 days.
2. Commissioning certificate within 9 months of first drawdown.
3. Board-approved succession plan within 6 months.

Monitoring plan

- Monthly management accounts within 30 days for 12 months from drawdown, then quarterly.
- Quarterly covenant compliance certificate, aged debtors and customer-concentration report.
- Monthly commissioning-progress report until the line is commissioned.
- Semi-annual desk review (next: 31 March 2027); full annual review by 30 September 2027.
- Obligor-specific EWIs: Customer A > 50% of revenue; quarterly gross margin < 26%; debtor days > 65; commissioning delay > 3 months or overrun > 10%; energy contract unhedged 3 months before September 2027 expiry.

43.15 Final credit decision

Decline the facilities as requested. The £2.0m term loan with £500k RCF, funded almost entirely by debt, fails the mild stress (DSCR 1.04x vs 1.10x) and the moderate and severe liquidity tests. Under Section 14.2 these failures require decline or restructure; no exception route exists for a mild-stress failure.

Approve the amended structure set out in Section 43.14, subject to the CPs, at grade 6, within L5 authority. The decision rests on: historical cash flow covering the new debt service at 1.28x without relying on the new contract; senior leverage of 2.05x; committed liquidity sufficient for 24 months of the moderate-stress shortfall; and 132% security cover. The main accepted risk is customer concentration, managed through the CP, covenants and EWIs rather than avoided.

Approval	Detail
Recommended by	Relationship Director, Midlands Commercial (amended recommendation)
Independent challenge	Credit Manager, Midlands Commercial Credit
Approved by	Senior Credit Manager (L5), jointly with Commercial Manager (L2)
Decision	Approve with amendments
Approval valid to	90 days from approval

Approval	Detail
Next review	Semi-annual desk review 31 March 2027; annual review 30 September 2027